

Comprehensive Wealth Plan

Prepared For: Ian Braunschneider
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Location: Verdi, Nevada (0% State Income Tax)

1. Executive Summary

This plan provides a structured roadmap for launching your Airbnb business, establishing tax-optimized entity structures, and building long-term wealth through Bitcoin accumulation. Your current position—high credit score (760+), substantial home equity (\$300K), zero non-mortgage debt, and strong household income (\$150K-\$199K)—creates an exceptional foundation for rapid wealth building.

Year-one projected value ranges from **\$20,280 (conservative)** to **\$49,680 (aggressive with Airbnb income)**, achieved through tax optimization, cash flow recapture, and business income generation. The 30-day launch plan prioritizes immediate wins: W-4 optimization for instant cash flow, HELOC activation to fund your Airbnb launch, and LLC formation to unlock business tax deductions.

\$20,280

Year-One Value (Conservative)

\$49,680

Year-One Value (Aggressive)

2. Current Position Analysis

Financial Snapshot

Category	Current Status	Strategic Implication
Household Income	\$150K-\$199K (W-2)	22-24% federal marginal rate; Tier 1 strategies optimal
Monthly Expenses	\$3,700-\$4,000	Healthy margin for investment capital generation
Liquid Capital	<\$5,000	HELOC required to fund Airbnb launch
Home Equity	\$300,000+	Strong collateral for HELOC (\$30K-\$75K accessible)
Mortgage Payment	\$2,700/mo (PITI)	Standard debt service; equity building monthly
Retirement Accounts	\$250,000+	Strong foundation; continue employer match + Roth
Non-Mortgage Debt	\$0	Excellent—no debt drag on cash flow
Credit Score	760+	Qualifies for best HELOC rates (prime or better)
State Tax	Nevada (0%)	Maximum retention of income; no state optimization needed

Profile Assessment

Factor	Assessment	Strategy Impact
Time Available	3-5 hrs/week	Airbnb material participation achievable; STR loophole accessible
Business Structure	W-2 only (planning LLC)	Limited deductions until LLC active; prioritize entity setup
Real Estate Interest	Arbitrage or Ownership	Both paths viable; arbitrage faster with lower capital
Emergency Fund	2-3 months	Adequate for launch; build to 6 months as income grows

Tax Position Analysis

Marginal Tax Rate: 22-24% federal + 0% Nevada = **22-24% combined**

Current Optimization: Minimal—standard W-2 withholding with no business deductions active

Opportunity: \$15,000-\$20,000 in year-one tax value through LLC activation, retirement optimization, and W-4 adjustment

3. 30-Day Launch Checklist

Week 1: Foundation & Cash Flow (Days 1-7)

- ☐ **W-4 Adjustment:** Update withholding to reclaim \$400-\$500/month in over-withheld taxes. Use IRS Tax Withholding Estimator. File new W-4 with employer HR.
- ☐ **HELOC Application:** Apply with current mortgage lender or credit union. Target \$50,000-\$75,000 line against \$300K equity. With 760+ score, expect prime rate or better.
- ☐ **Bank Account Research:** Identify business checking options (Mercury, Relay, or local credit union). Compare fee structures for LLC account.
- ☐ **LLC State Decision:** Research Wyoming vs Nevada formation. Wyoming: \$100 formation + \$60/yr, maximum privacy. Nevada: \$425 formation + \$350/yr, local convenience.

Week 2: Entity Formation (Days 8-14)

- ☐ **LLC Filing:** File Articles of Organization (Wyoming recommended for cost/privacy). Use registered agent service if Wyoming (\$50-\$100/yr).
- ☐ **EIN Application:** Apply online at IRS.gov immediately after LLC approval. Instant issuance; required for business bank account.
- ☐ **Business Bank Account:** Open LLC checking account with EIN. Fund with initial capital

(\$500-\$1,000).

- ❑ **Accounting Setup:** Create Wave (free) or QuickBooks account. Connect business bank account. Establish chart of accounts for STR business.

Week 3: Airbnb Research & Due Diligence (Days 15-21)

- ❑ **Market Analysis:** Research Reno/Tahoe STR markets using AirDNA or Mashvisor. Identify neighborhoods with strong occupancy (65%+) and ADR (\$150+).
- ❑ **Regulation Check:** Verify Verdi/Washoe County STR permit requirements. Check HOA restrictions if applicable. Confirm licensing costs.
- ❑ **Path Selection:** Finalize arbitrage vs ownership decision based on HELOC amount and market opportunity.
- ❑ **Property Criteria:** Define target property specs: 2-3 BR, proximity to attractions, parking, unique amenities.

Week 4: Capital Deployment & Strategy Lock (Days 22-30)

- ❑ **HELOC Finalization:** Complete HELOC closing. Draw initial funds for Airbnb launch (\$15K-\$30K for arbitrage or \$40K+ for down payment).
- ❑ **Backdoor Roth IRA:** If income exceeds Roth limits (\$150K single), execute backdoor strategy. Open Traditional IRA → contribute \$7,000 → convert to Roth immediately.
- ❑ **Property Search Launch:** Begin active property search (lease negotiations for arbitrage OR purchase offers for ownership).
- ❑ **Professional Coordination:** Schedule CPA consultation for year-end tax planning and entity election timing.

4. Tax Optimization Playbook

Seven strategies selected from 43+ evaluated options based on your income level (\$150K-\$199K), business structure (W-2 + planned LLC), risk tolerance (moderate), and time availability (3-5 hrs/week).

Year-One Tax Strategy Total: \$15,480-\$19,680 in tax value

W-4 Cash Flow Improvement: +\$4,800-\$6,000 annual increase

Strategy 1: W-4 Optimization

\$4,800-\$6,000 cash flow

Adjust federal withholding to match actual tax liability. Most W-2 employees over-withhold by \$4,000-\$8,000 annually, providing the IRS an interest-free loan.

Implementation:

1. Use IRS Tax Withholding Estimator (irs.gov/W4App) with current paystub
2. Account for planned business losses, retirement contributions, and deductions
3. Complete new W-4 with adjusted allowances or additional amount
4. Submit to employer HR—takes effect within 1-2 pay periods

Documentation: Keep copy of W-4 submitted; save estimator results

Compliance: Avoid underpayment penalty by paying 100% of prior year tax (110% if AGI >\$150K) or 90% of current year

Strategy 2: LLC Formation

Foundation for all strategies

Single-member LLC provides liability protection and unlocks business deductions. Default tax treatment as disregarded entity (Schedule C) keeps filing simple.

State Comparison:

Factor	Wyoming	Nevada
Formation Fee	\$100	\$425
Annual Fee	\$60	\$350
Privacy	Maximum (no public member disclosure)	Good
Registered Agent	Required (remote)	Can self-register

Recommendation: Wyoming LLC for cost efficiency and privacy. Use Northwest Registered Agent or similar (\$125/yr includes RA service).

Timeline: 1-3 business days for approval; EIN same day online

Strategy 3: Backdoor Roth IRA

\$7,000 + tax-free growth

High earners above Roth IRA income limits (\$150K single / \$236K married in 2025) can still access Roth benefits through the backdoor conversion strategy.

2025 Income Limits: Direct Roth contribution phases out between \$150K-\$165K (single) or \$236K-\$246K (married filing jointly)

Implementation:

1. Open Traditional IRA (if none exists) with zero balance
2. Contribute \$7,000 (\$8,000 if 50+) as non-deductible contribution
3. Convert immediately to Roth IRA (same day or next business day)
4. File Form 8606 with tax return to report non-deductible contribution

Pro-Rata Warning: If you have existing Traditional IRA balances, the pro-rata rule applies—roll existing balances into employer 401(k) first to avoid tax complications

Documentation: Keep Form 8606 for all years; document conversion date

Strategy 4: Home Office Deduction

\$1,320-\$1,680 tax value

Deduct portion of home expenses (mortgage interest, utilities, insurance, repairs) based on dedicated business use space. Requires active business with LLC.

Requirements:

- Exclusive and regular business use of dedicated space
- Primary place of business OR separate structure
- Active business generating income (Airbnb management qualifies)

Calculation Methods:

- **Simplified:** $\$5/\text{sq ft} \times \text{business sq ft}$ (max 300 sq ft = \$1,500 deduction)
- **Regular:** $(\text{Business sq ft} \div \text{Total home sq ft}) \times \text{actual expenses}$. Better for larger spaces or high home costs.

Documentation: Floor plan with measurements, photos of dedicated space, expense receipts

Value at 22-24% rate: \$5,500-\$7,000 deduction = \$1,320-\$1,680 tax savings

Strategy 5: Vehicle Expense Deduction

\$1,100-\$2,400 tax value

Deduct business use of personal vehicle for Airbnb management (property visits, supply runs, guest coordination, banking).

2025 IRS Mileage Rate: 70 cents per mile (business use only)

Methods:

- **Standard Mileage:** Track miles $\times$ \$0.70. Simpler; best for moderate use.
- **Actual Expenses:** Gas, insurance, repairs, depreciation $\times$ business use %. Better for high-cost vehicles or heavy use.

Estimated Business Miles: STR management typically generates 2,000-5,000 business miles annually

Tax Value: $3,000 \text{ miles} \times \$0.70 = \$2,100 \text{ deduction} \times 24\% = \504 ; $7,000 \text{ miles} = \$1,176$

Documentation Required: Contemporaneous mileage log with date, destination, business purpose, and odometer readings. Use MileIQ or Everlance app.

Strategy 6: Augusta Rule (Section 280A)

\$1,980-\$2,880 tax value (Year 2+)

Rent your personal residence to your business for up to 14 days annually for legitimate business meetings. Business deducts expense; you receive rental income tax-free.

Requirements:

- Active business (LLC must be operational with income)
- Legitimate business purpose (board meetings, strategic planning, client meetings, team retreats)
- Market-rate rental pricing (document comparable rates)
- Maximum 14 days per year

Rate Determination: Research comparable venue rentals in Verdi/Reno area.

Conference rooms, event spaces, vacation rentals provide comparables. Typical daily rate: \$300-\$600 depending on home size and amenities.

Calculation: 14 days $\times$ \$350-\$500/day = \$4,900-\$7,000 deduction

Tax Value: \$7,000 $\times$ 24% = \$1,680 (+ rental income is tax-free to you)

Documentation: Written rental agreement, meeting agendas, attendance records, comparable rate research, photos of meeting setup

Timeline: Implement in Year 2 after LLC has established business activity

Strategy 7: Retirement Maximization

\$5,280-\$6,720 tax value

Maximize employer 401(k) contributions (at minimum, capture full employer match) plus Backdoor Roth IRA for tax-free growth.

2025 Contribution Limits:

- 401(k) Employee: \$23,000 (\$30,500 if 50+; \$34,750 if 60-63 super catch-up)

- 401(k) Total (with employer): \$70,000 (\$77,500 if 50+)
- IRA: \$7,000 (\$8,000 if 50+)

Strategy:

1. Contribute at least enough to 401(k) to capture full employer match (free money)
2. Execute Backdoor Roth IRA for \$7,000
3. If cash flow allows, increase 401(k) contribution toward maximum

Tax Value: \$23,000 401(k) contribution $\times$ 24% = \$5,520 tax savings + \$7,000 in tax-free Roth growth

Future Enhancement: When side business profits exceed \$60K, consider Solo 401(k) for additional \$69,000 contribution capacity

Future Tax Strategies (Years 2-3)

Strategy	Trigger	Potential Value
S-Corp Election	Side business net profit >\$60K	\$3,000-\$8,000/year in SE tax savings
Short-Term Rental Loophole	Own STR + material participation (100+ hrs)	\$15,000-\$40,000 in unlocked passive losses
Cost Segregation	Purchase investment property	\$30,000-\$100,000 accelerated depreciation
QBI Deduction (199A)	Pass-through income from LLC	20% of qualified business income
Solo 401(k)	Self-employment income	Up to \$69,000 annual contribution

5. Airbnb Launch Strategy

Path Comparison

Factor	Arbitrage (Lease + Furnish)	Ownership (Purchase + Finance)
Capital Required	\$10,000-\$20,000	\$40,000-\$80,000 (10-15% down)
Time to Launch	60-90 days	3-6 months
Monthly Obligations	Rent + utilities (\$2,000-\$3,500)	PITI + utilities (\$2,500-\$4,500)
Profit Potential	\$500-\$1,500/month net	\$800-\$2,500/month + appreciation
Tax Benefits	Moderate (business deductions)	Maximum (depreciation, cost seg, STR loophole)
Scalability	High (add units quickly)	Moderate (capital intensive)
Equity Building	None	Yes (principal paydown + appreciation)

Recommendation: Given your <\$5K liquid capital, start with **Arbitrage** using HELOC funds. Lower capital requirement, faster launch, and lower risk while you build experience. Transition to ownership in Year 2-3 after proving the model and accumulating capital.

Arbitrage Launch Economics

Item	Conservative	Aggressive
Monthly Rent (3BR)	\$2,200	\$2,800
Furnishing (one-time)	\$8,000	\$15,000
Monthly Operating Costs	\$800	\$1,200
Monthly Gross Revenue	\$4,500	\$6,500
Monthly Net Profit	\$500	\$1,500
Annual Net Profit	\$6,000	\$18,000
Break-even Period	16 months	10 months

Market Selection Criteria (Reno/Tahoe Area)

- **Occupancy Rate:** Target 65%+ annual average (Tahoe seasonal: 50% winter peak, 80% summer)
- **Average Daily Rate:** Target \$175-\$300 depending on location and amenities
- **Regulations:** Check permit requirements—some areas restrict or ban STRs. Incline Village, Truckee have restrictions.
- **Proximity:** Within 2-hour drive for management visits; closer enables material participation hours
- **Amenities:** Hot tub, ski storage, pet-friendly increase bookings significantly in this market

Short-Term Rental Tax Loophole (Future Strategy)

What It Is: STRs with average guest stays under 7 days are NOT considered "rental activity" under IRS rules. This means losses can offset W-2 income if you materially participate—unlike typical rental properties where losses are passive.

Requirements:

- Average guest stay <7 days (Airbnb typically 2-4 days)
- Material participation: >100 hours AND more than any other person
- Provide substantial services (cleaning, check-in assistance, local recommendations)

Impact with Cost Segregation: Purchase \$400K property → Cost seg study identifies \$100K in accelerated depreciation → Offset against W-2 income = \$24,000 tax savings in year one

Your Timeline: Implement when transitioning from arbitrage to ownership (Year 2-3)

6. Investment Strategy & Portfolio Allocation

Capital Deployment Framework

With HELOC activation, you'll have \$50,000-\$75,000 in accessible capital. Here's the recommended deployment:

Allocation	%	Amount	Purpose
Airbnb Launch Capital	40%	\$20,000-\$30,000	Furnishing, security deposits, operating reserve
Bitcoin Accumulation	35%	\$17,500-\$26,250	Long-term wealth building (lump sum + DCA)
Emergency/Operating Reserve	20%	\$10,000-\$15,000	6-month personal + 3-month business runway
Accelerators/Opportunistic	5%	\$2,500-\$3,750	Bitcoin miners, yield products, tactical positions

Bitcoin Accumulation Strategy

Target Allocation: 70% of investable assets (excluding real estate equity)

Rationale: Bitcoin serves as pristine collateral and long-term wealth preservation. Nevada's 0% state tax means no state capital gains on appreciation. 4-year halving cycles historically produce 300-1000% returns from cycle lows.

Method	Amount	Timeline	Purpose
Lump Sum	\$10,000-\$15,000	Month 1-2	Establish core position
Dollar-Cost Average	\$500-\$1,000/month	Ongoing	Smooth volatility, build consistently
Profit Allocation	50% of Airbnb net profit	Monthly	Business income → Bitcoin conversion

Custody Progression

Stage	Balance	Solution	Security Level
Accumulation	\$0-\$10K	River Financial or Coinbase	Exchange custody (insured)
Growing	\$10K-\$50K	Hardware wallet (Coldcard, Trezor)	Self-custody (single-sig)
Significant	\$50K+	Unchained or Casa multisig	Collaborative custody (2-of-3)

Yield Products (Optional 5-10% Allocation)

Product	Yield	Notes
STRF (Strife)	10-12% APY	USD-denominated, Bitcoin-backed
STRC	8-10% APY	Convertible notes
Bitcoin Mining Stocks	Variable	Leveraged Bitcoin exposure (MARA, RIOT, IREN)

7. Year-One Value Breakdown

Conservative Scenario

Category	Description	Value
Tax Strategy Value	W-4 + LLC deductions + Roth	\$15,480
W-4 Cash Flow	Reduced withholding recaptured	\$4,800
Total Year-One Value (Conservative)		\$20,280

Aggressive Scenario (Airbnb Launched)

Category	Description	Value
Tax Strategy Value	Full deduction stack activated	\$19,680
W-4 Cash Flow	Optimized withholding	\$6,000
Airbnb Net Income	6-9 months operation @ \$1,500-\$2,000/mo	\$12,000-\$24,000
Total Year-One Value (Aggressive)		\$37,680-\$49,680

ROI Analysis

Investment	Cost	Return	ROI
LLC Formation (Wyoming)	\$160	\$3,000+ deductions enabled	1,775%+
CPA Consultation	\$300-\$500	Strategy validation + audit protection	Invaluable
Airbnb Furnishing	\$10,000	\$6,000-\$18,000 annual profit	60-180%
HELOC Interest (est.)	\$2,000-\$3,000	Enables \$50K+ deployment	Leveraged returns

8. Implementation Timeline

Q4 2025 (Now - December)

Week	Focus	Key Deliverable
Week 1-2	Foundation	W-4 filed, HELOC applied, LLC state decided
Week 3-4	Entity Setup	LLC formed, EIN obtained, bank account opened
Week 5-6	Research	Market analysis complete, property criteria defined
Week 7-8	Capital Ready	HELOC closed, Backdoor Roth executed

Q1 2026

Month	Focus	Milestone
January	Property Acquisition	Lease signed OR purchase under contract
February	Setup & Launch	Furnishing complete, listing live
March	Optimization	First reviews, pricing optimization, systems refined

Key Tax Deadlines

Date	Action	Notes
Dec 31, 2025	Backdoor Roth contribution	Must contribute by year-end for 2025 tax year
Jan 15, 2026	Q4 estimated payment (if applicable)	Only if self-employment income generated
Mar 15, 2026	S-Corp election deadline	Form 2553 due if electing S-Corp for 2026
Apr 15, 2026	Tax return + IRA contribution deadline	Final day for 2025 IRA contributions

9. Immediate Action Plan

This Week (Days 1-7)

- ☐ Complete IRS W-4 Estimator and submit new W-4 to employer
- ☐ Call current mortgage lender about HELOC options and rates
- ☐ Research Wyoming LLC formation process (Northwest Registered Agent recommended)
- ☐ Create spreadsheet to track startup costs and projected returns

This Month (Days 1-30)

- ☐ File LLC Articles of Organization
- ☐ Apply for EIN online
- ☐ Open business bank account
- ☐ Complete HELOC application
- ☐ Set up Wave or QuickBooks for business accounting
- ☐ Research Reno/Tahoe STR markets using AirDNA
- ☐ Execute Backdoor Roth IRA (if income qualifies)

This Quarter (90 Days)

- ☐ HELOC closed and funds accessible
- ☐ Property identified (arbitrage lease or purchase target)
- ☐ First property under contract or lease signed
- ☐ Furnishing plan and budget finalized
- ☐ CPA consultation completed for year-end planning

- ❑ Bitcoin DCA established (\$500-\$1,000/month auto-buy)

10. Professional Team Coordination

Required Professionals

Professional	Purpose	When to Engage	Estimated Cost
CPA (Tax Strategist)	Entity election, deduction optimization, compliance	Before year-end; ongoing	\$500-\$2,000/year
Registered Agent (WY)	LLC compliance, document handling	LLC formation	\$50-\$125/year
Real Estate Attorney	Lease review, purchase contracts	Before signing any agreement	\$200-\$500 per review
Insurance Agent	STR liability, umbrella policy	Before first guest	\$1,000-\$2,500/year

CPA Selection Criteria

- Experience with real estate investors and STR operators
- Familiarity with LLC/S-Corp elections and optimization
- Proactive tax planning (not just compliance)
- Responsive communication (especially Q4 for year-end planning)
- Reasonable fees for your business stage

12. Resources & Tools

Entity Formation

- **Wyoming LLC:** Northwest Registered Agent (northwestregisteredagent.com) - \$39 + state fees
- **EIN:** [IRS.gov/EIN](https://irs.gov/ein) - Free, instant online application
- **Operating Agreement:** Rocket Lawyer or attorney template (\$50-\$200)

Airbnb Operations

- **Market Research:** AirDNA.co, Mashvisor, AllTheRooms Analytics
- **Pricing:** PriceLabs, Wheelhouse, Beyond Pricing
- **Property Management:** Hospitable, Guesty (for scaling)
- **Guest Communication:** Hospitable auto-messaging

Financial Tools

- **Accounting:** Wave (free) or QuickBooks Self-Employed (\$15/mo)
- **Mileage:** MileIQ or Everlance (auto-tracking)
- **Banking:** Mercury, Relay, or local credit union
- **W-4 Calculator:** IRS Tax Withholding Estimator (irs.gov/W4App)

Bitcoin

- **DCA Platform:** River Financial (lowest fees, auto-buy)
- **Hardware Wallet:** Coldcard, Trezor Model T, or Ledger
- **Multisig:** Unchained Capital, Casa
- **Education:** Bitcoin Standard (book), What Bitcoin Did (podcast)

13. Your Questions Answered

1. LLC Setup Options

Recommendation: Wyoming LLC

Why Wyoming over Nevada:

- Lower cost: \$100 formation + \$60/yr vs Nevada's \$425 + \$350/yr
- Maximum privacy: No public member/manager disclosure
- No franchise tax or state income tax
- Strong asset protection statutes

- Can operate in any state (register as foreign LLC in NV if needed—but for online business, often not required)

Process: File online through Wyoming Secretary of State or use registered agent service. 1-3 day turnaround. Immediately apply for EIN at IRS.gov.

2. Investment Fund Options, Rearrangement & Management

Current State: \$250K+ in retirement accounts (excellent), <\$5K liquid (constraint)

Recommended Rearrangement:

- Activate HELOC to unlock \$50K-\$75K in deployable capital
- Allocate 40% to Airbnb launch, 35% to Bitcoin, 20% reserves, 5% opportunistic
- Continue 401(k) contributions to capture employer match (minimum)
- Execute Backdoor Roth for \$7,000 tax-free growth

Management: Self-manage with automated systems. Bitcoin DCA via River (auto-buy). Accounting via Wave (auto-sync). Airbnb pricing via PriceLabs (auto-adjust). Review monthly; rebalance quarterly.

3. Tax Reduction Strategy

Immediate (Week 1): W-4 optimization recaptures \$4,800-\$6,000/year in cash flow

Year One: LLC unlocks \$15,480-\$19,680 in tax value through home office, vehicle, and business deductions

Year 2+: Augusta Rule adds \$1,980-\$2,880. STR loophole + cost segregation can unlock \$30,000-\$100,000 in accelerated depreciation against W-2 income when you purchase property.

Long-term: S-Corp election (when profits exceed \$60K) saves \$3,000-\$8,000+ annually in self-employment tax.

Disclaimer: This wealth plan is for educational purposes and does not constitute legal, tax, or financial advice. Consult qualified professionals before implementing any strategies. Tax laws change; verify current limits and rules with your CPA.